Disadvantages:

Product departmentation presents some problems as follows:

1. It creates the problem of effective control over the product divisions by the top managers.
2. Each production manager asserts his autonomy disregarding the interests of the organisation.
3. The advantages of centralization of certain activities like financing, and accounting are not available.
4. There is duplication of physical facilities and functions. Each product division maintains its own specialized personnel due to which operating costs may be high.
5. There may be under-utilization of plant capacity when the demand for a particular product is not adequate.

(C) Departmentation by Territory:

Territorial or geographical departmentation is specially useful to large-scale enterprises whose activities are widely dispersed. Banks, insurance companies, transport companies, distribution agencies etc, are some examples of such enterprises, where all the activities of a given area of operations are grouped into zones, branches, divisions etc.

It is obviously not possible for one functional manager to manage efficiently such widely spread activities. This makes it necessary to appoint regional managers for different regions.

Advantages:

Territorial departmentation offers certain facilities in operation. These are pointed out below:

1. Every regional manager can specialize himself in the peculiar problems of his region.
2. It facilitates the expansion of business to various regions.
3. It helps in achieving the benefits of local operations. The local managers are more familiar with the local customs, preferences, styles, fashion, etc. The enterprise can gain intimate knowledge of the conditions in the local markets.
4. It results in savings in freight, rents, and labor costs. It also saves time.
5. There is better co-ordination of activities in a locality through setting up regional divisions.
6. It provides adequate autonomy to each regional manager and opportunity to train him as he looks after the entire operation of a unit.

Disadvantages:

Territorial departmentation have the following problems:

1. There is the problem of communication.

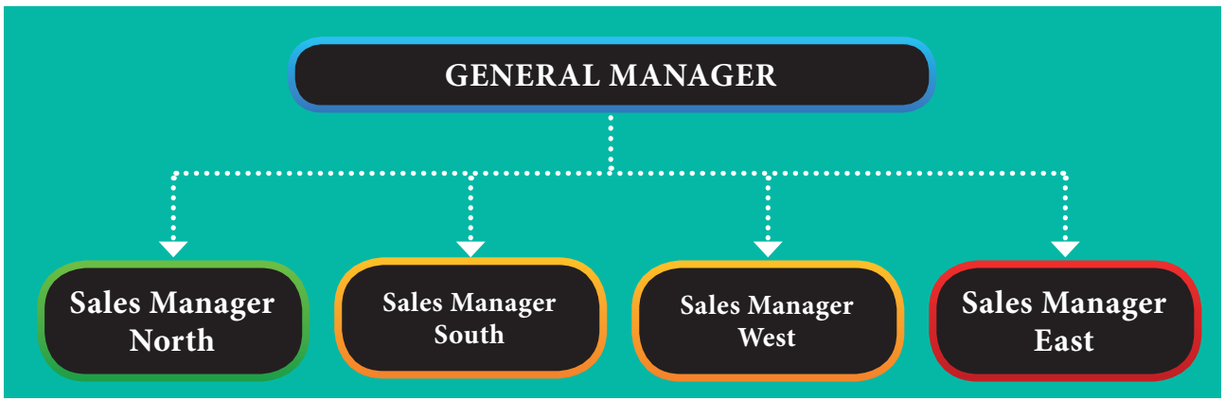


Figure 6.3 Departmentation by Territory

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